

Indian Railway Catering & Tourism Corporation Ltd (IRCTC)

ROE	40.4%
ROCE	53.8%
CFO Quality	Moderate
Capital Allocation	Reinvestor

Strengths

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency.
- Operating profit margin above 25% indicates strong pricing power and cost discipline.
- Very high interest coverage ratio reflects negligible financial stress from debt servicing.
- Sustainable dividend payout backed by positive free cash flow.
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.

Risks

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure.